IMPORTANT: Salary Structure Update – Effective April 2026

Will reflect in your May 2026 Payslip

Dear All,

We would like to inform you about some **important changes to your salary structure**, effective **1st April 2026** that will reflect in your **May 2026 payslip**.

These changes have been made to ensure that our salary structure complies with the **New Wage Code 2019 framework** mandated by the Government of India. **Please be assured that these are restructuring changes only — your total fixed pay and your net take home have not been reduced.**

☑ **Your Total Fixed Pay or your Net Take-home has NOT changed. Only the salary structure has been updated.**

What has Changed?

Here is a simple explanation of each change in your salary structure:

#	What Changed	What It Means for You
1	Special Allowance is now fixed	Special Allowance will now be a fixed amount
2	Wage components minimum 50%	Your Basic Salary + Special Allowance combined (Wage) will be at least 50% of your total fixed pay as per the New Wage Code.
3	Conveyance Allowance introduced	A new component called Conveyance Allowance has been introduced in your salary. This will be the balancing component in the salary structure. Previously Special Allowance was the balancing component.
4	LTA discontinued	Leave Travel Allowance (LTA) has been discontinued from April 1, 2026. If you were receiving LTA, that amount has been moved to Conveyance Allowance — so you don't lose any pay.
5	CCA discontinued	City Compensatory Allowance (CCA) has been discontinued from April 1, 2026. If you were receiving CCA, that amount has been added to Conveyance Allowance — so you don't lose any pay.
6	ESIC (if applicable)	If your Basic + Special Allowance is less than ₹21,000 per month, ESIC contributions will apply as per government norms.
7	Advance Statutory Bonus (if applicable)	If your Basic + Special Allowance is less than ₹21,000, you will receive an advance statutory bonus, calculated at 8.33% on ₹7,000 or your state's minimum wage — whichever is higher.

Frequently Asked Questions

Q: Has my Total Fixed Pay (TFP) and net take home pay been reduced?

A: No. Your **Total Fixed Pay (TFP) & net take home** remains unchanged. Only the internal components have been restructured to align with the New Wage Code.

Q: Why does my payslip look different now?

A: The names and amounts of some salary components have changed to comply with the new Wage Code.

Q: I used to get LTA through flexi benefits & CCA — where has it gone?

A: LTA & CCA has been discontinued effective April 1, 2026. The same amount has been added to your Conveyance Allowance, so there is no loss in your total fixed pay.

Q: Who can I contact if I have more questions?

A: Please raise your query on PAI@HR (MS Teams)

Next Steps

- Review your May 2026 payslip carefully when it is released.
- Compare it with this communication to understand each component.
- If you notice any discrepancy, raise a query with HR Payroll team within 7 days of payslip release.

We appreciate your patience and understanding as we work to ensure full compliance while keeping your compensation intact.

Warm regards,

Human Resources Department
